calculated.[345] We think that defining "net total returns" for liquid funds in this rulemaking may not result in the best outcomes for investors. As used in the final rule, the liquid fund category captures a set of private funds that is unrestricted so long as they do not meet the definition of an illiquid fund and, as a result, is highly diverse. Some liquid funds target highly niche assets for which the calculation of net total returns is based on specialized industry norms and practices. Without further consideration and study, prescribing a single definition for "net total returns" could end up harming investors by distorting the reported performance of liquid funds that invest in less common asset classes from what investors have come to understand and expect. Consequently, we do not believe it is appropriate to prescribe a definition for "net total returns" at this time.

Certain commenters stated that requiring liquid funds to report the one-, five-, and 10-year periods would provide data to investors that the Commission recently determined in the marketing rule was not useful information for private funds.[346] One such commenter asserted that requiring the use of standardized reporting information to be presented alongside the more relevant data would result in multiple sets of performance data and metrics, creating additional confusion for investors and an overwhelming volume of information.[347] While we acknowledge that the marketing rule excepted private funds from its one-, five-, and 10- year periods presentation requirement, the underlying concern with requiring these intervals was that it could be not useful or meaningful, and possibly confusing, for investors in a closed-end fund.[348]

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345 *See, e.g.*, GPEVCA Comment Letter; BVCA Comment Letter.

346 *See, e.g.*, IAA Comment Letter II; NYC Bar Comment Letter II; PIFF Comment Letter; Schulte Comment Letter. *See also* Marketing Release, *supra* footnote 127, at 182.

347 *See* PIFF Comment Letter.

348 *See* Marketing Release, *supra* footnote 127, at 181-182.

Among our reasons for excepting *all* private funds from the requirement under the marketing rule, we stated that we did not believe the benefit of having advisers parse the rule's requirements based on specific fund types would justify the complexity.[349] Performance information in the quarterly statements serves a somewhat different purpose, however. As stated above, the needs of *current* clients and investors often differ in some respects from the needs of *prospective* clients and investors. Current investors generally need to receive performance reporting during different time periods to be able to evaluate properly an investment's performance. Current investors also generally need to receive performance reporting that is provided at timely, predictable intervals to be able to compare information effectively from quarter to quarter and year to year, and thus be positioned to take action where possible. Requiring regular disclosure of performance for liquid funds over these periods will help prevent fraud, deception, and manipulation because timely and consistent performance information will decrease the likelihood that investors will be defrauded, deceived, or manipulated by deceptive or misleading representations of performance, especially if such representations occur with respect to each time period.[350] It also increases the likelihood that any misconduct will be detected sooner. Accordingly, the final rule will retain the one-, five- and 10-year periods for liquid funds because we believe they will assist investors with this process.

Cumulative Net Total Returns. Third, the adviser is required to show the liquid fund's cumulative net total return for the current fiscal year as of the end of the most recent fiscal quarter covered by the quarterly statement. For example, a liquid fund that has been in operation

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349 *See id.*

350 For example, if performance suddenly and dramatically improves without explanation, then investors will be in a better position (especially where there are comparable benchmarks that did not experience the same sudden and dramatic change) to ask advisers to provide an explanation and assess whether fraud, deception or manipulation may be occurring.

for four fiscal years (beginning on January 1) and seven months would show, pursuant to this requirement, the cumulative net total return for the current fiscal year through the end of the second quarter (*i.e.*, year-to-date fund performance as of the end of the most recent fiscal quarter covered by the quarterly statement). This information will provide fund investors with insight into the fund's most recent performance, which investors can use to assess the fund's performance during recent market conditions. This quarterly performance information will also provide helpful context for reviewing and monitoring the fees and expenses borne by the fund during recent quarters, which the quarterly statement will disclose.

These required performance metrics should allow investors to better assess these funds' performance. Liquid funds generally should be able to determine their net asset value on a regular basis and compute the year-over-year return using the market-based value of the underlying assets. We have taken a similar approach with regard to registered open-end funds, which typically invest a substantial amount of their assets in primarily liquid underlying holdings (*e.g.*, publicly traded securities).[351] Liquid funds, like registered funds, currently generally report performance, at a minimum, on an annual and quarterly basis. Investors in a private fund that is a liquid fund would similarly find this information helpful. Most traditional hedge funds are likely liquid funds and will need to provide disclosures regarding the underlying assumptions of the performance (*e.g.*, whether dividends or other distributions are reinvested).[352]

One commenter suggested that we should reevaluate the requirement for liquid funds to show both annualized and cumulative net performance and grant private funds flexibility in

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351 *See, e.g.*, Item 4(b)(2) of Form N-1A.

352 *See supra* the discussion of the definition of "liquid fund" in section II.B.2.

providing either annualized or cumulative net performance.[353] We decided not to allow this flexibility to help ensure that investors receive standardized, comparable information for each private fund. Permitting advisers to pick and choose which return metrics to use would be inconsistent with this goal. Accordingly, as proposed, the final rule will require advisers to show both annualized and cumulative net performance.

Another commenter suggested that we should also require liquid funds to provide average annual net returns over a three-year period in addition to the one-, five- and 10-year periods to potentially provide additional transparency to private fund investors.[354] Although we recognize that additional performance information may serve to enhance the overall amount of information available to investors, we believe that the presentation of standardized performance information for one-, five- and 10-year periods will provide a sufficient level of minimum disclosure (which may be further supplemented) for private fund investors to monitor and gain insight into how a private fund performed during different market or economic conditions.[355]

b) Illiquid Funds

We are adopting the performance requirements for illiquid funds largely as proposed, other than the requirement for an adviser to disclose performance figures solely *without* the impact of fund-level subscription facilities. Under the final rule, an adviser is required to disclose performance figures *with and without* the impact of fund-level subscription facilities. As discussed in greater detail below, this change is responsive to commenters who stated that

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353 *See* SIFMA-AMG Comment Letter I.

354 *See* Morningstar Comment Letter.

355 We also note that advisers are able to provide, and investors are free to request and negotiate for, average annual net returns over a three-year period, provided that such additional reporting complies with other regulations, such as the final marketing rule when applicable. *See supra* the introductory discussion in section II.B.2.

reporting both sets of performance figures would provide investors with a more complete picture of the fund's performance. We discuss each performance reporting requirement for illiquid funds in turn below.

The rule requires advisers to illiquid funds to disclose the following performance measures in the quarterly statement, shown since inception of the illiquid fund and computed *with and without* the impact of any fund-level subscription facilities:[356]

(i) Gross internal rate of return and gross multiple of invested capital for the illiquid fund;

(ii) Net internal rate of return and net multiple of invested capital for the illiquid fund; and

(iii) Gross internal rate of return and gross multiple of invested capital for the realized and unrealized portions of the illiquid fund's portfolio, with the realized and unrealized performance shown separately.

The rule also requires advisers to provide investors with a statement of contributions and distributions for the illiquid fund.[357]

Since Inception. The rule requires an adviser to disclose the illiquid fund's performance measures since inception. This requirement will ensure that advisers are not providing investors with only recent performance results or presenting only results or periods with strong performance, which could mislead investors. We are requiring this for all illiquid fund

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356 One commenter recommended that we should clarify how distributions that are recalled by advisers for additional investments (often referred to as "recycling") should be treated for certain of these illiquid fund performance metrics. *See* CFA Comment Letter II. Advisers generally should treat any distributions that they recall for additional investments as additional contributions for purposes of calculating these illiquid fund performance metrics as we understand this is the expectation of investors. As a result, illiquid fund performance information that does not treat such recalled distributions as additional contributions may be misleading.

357 Final rule 211(h)(1)-2I(2)(ii).

performance measures under the rule, including the performance measures for the realized and unrealized portions of the illiquid fund's portfolio.

The rule requires an adviser to include performance measures for the illiquid fund through the end of the quarter covered by the quarterly statement. We recognize, however, that certain funds may need information from portfolio investments and other third parties to generate performance data and thus may not have the necessary information prior to the distribution of the quarterly statement. Accordingly, to the extent quarter-end numbers are not available at the time of distribution of the quarterly statement, an adviser is required to include performance measures through the most recent practicable date, which we generally believe would be through the end of the quarter immediately preceding the quarter covered by the quarterly statement. The rule requires the quarterly statement to reference the date the performance information is current through (*e.g.*, December 31, 2023).[358]

Some commenters supported the since inception performance disclosure requirement for illiquid funds,[359] while other commenters criticized it.[360] One commenter commented specifically on the since inception requirement for illiquid fund performance, stating that we should retain this requirement because inception-to-date returns allow investors to understand the improvement or deterioration of returns over the most relevant period, especially for illiquid funds with long-hold periods.[361] We believe that it is important for illiquid funds to provide performance information since inception so that investors are able to evaluate the full

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358 Final rule 211(h)(1)-2(e)(2)(iii).

359 *See, e.g.*, Trine Comment Letter; AFREF Comment Letter I; IST Comment Letter.

360 *See, e.g.*, IAA Comment Letter II; PIFF Comment Letter; AIMA/ACC Comment Letter.

361 *See* CFA Comment Letter II.

performance of their investment. For many illiquid funds, investors commit capital at or near the inception of the fund.[362] These same investors generally also contribute the capital used to make the fund's initial investments. Accordingly, anything less than performance since inception would misrepresent the performance of such investors' investments in the illiquid fund. While there may be situations where investors make capital commitments to an illiquid fund later on in its life, we understand that these circumstances are rare. Even in these scenarios, the illiquid fund may have already made most of the investments it will make over its life by the time this capital is committed later in its life. We also agree with this commenter that inception-to-date returns allow investors to better assess performance trends, particularly for illiquid funds, since inception performance will generally align with the typical investment holding period and the period for which the performance-based fee is generally calculated for many illiquid funds. Accordingly, we maintain that performance since inception is the best approach for representing the illiquid fund's performance.

Computed With and Without the Impact of Fund-Level Subscription Facilities. The rule requires advisers to calculate performance measures for each illiquid fund both with and without the impact of fund-level subscription facilities.[363] For performance measures *without* the impact of fund-level subscription facilities ("unlevered returns"), the rule requires advisers to calculate performance measures as if the private fund called investor capital, rather than drawing down on fund-level subscription facilities, as proposed.[364] For performance measures *with* the impact of

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362 Investors that enter an illiquid fund in a closing subsequent to the fund's initial closing are also generally subject to types of equalization payments or adjustments (*e.g.*, "true-ups") that result in their treatment by the private fund as if they had entered the fund at its initial closing.

363 Final rule 211(h)(1)-2(e)(2)(ii)(A).

364 As discussed below, the rule also requires advisers to prominently disclose the criteria used and assumptions made in calculating performance. This includes the criteria and assumptions used to prepare an illiquid fund's unlevered performance measures.

fund-level subscription facilities ("levered returns"), the rule requires advisers to calculate performance measures reflecting the actual capital activity from both investors and fund-level subscription facilities, including, for the avoidance of doubt, any activity prior to investor capital contributions as a result of the fund drawing down on fund-level subscription facilities.

In response to our requests for comment, a number of commenters suggested that we require performance measures for illiquid funds both with and without the impact of fund-level subscription facilities.[365] Of these, one commenter stated that requiring performance measures for illiquid funds both with and without the impact of fund-level subscription facilities would provide a more complete picture of the effects of a fund's financing strategies.[366] Another commenter stated that this approach would allow investors to understand the impact of the adviser's decision to use a subscription facility.[367] In response to commenters, we are requiring advisers to calculate performance measures for each illiquid fund both with and without the impact of fund-level subscription facilities. As one commenter pointed out, an internal rate of return *with* the impact of the subscription facilities is typically used to calculate performance-based compensation, and this return also usually reflects the actual investor return.[368] Accordingly, after considering comments, we think it is necessary for investors to be able to

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365 *See, e.g.*, ILPA Comment Letter I; Comment Letter of Predistribution Initiative (Apr. 25, 2022) ("Predistribution Initiative Comment Letter II"); IST Comment Letter.

366 *See* Predistribution Initiative Comment Letter II.

367 *See* CFA Comment Letter I. However, this commenter also stated that, in certain cases, the calculation of performance without the impact of subscription facilities could be challenging, particularly for historical periods. The commenter stated that advisers may need to make assumptions about which historical capital calls would have been impacted. Because the final rule requires advisers to disclose any assumptions used in calculating performance, we believe that investors will be able to analyze the assumptions made and weigh their impact on performance. Nonetheless, we recognize that, to the extent these assumptions by advisers are not accurate, the benefits of the information to investors may be reduced. *See infra* section VI.D.2.

368 *See* CFA Comment Letter I.

compare their illiquid fund performance both with and without the impact of fund-level subscription facilities to better understand how the use and costs of any fund-level subscription facilities are affecting their returns. Because most advisers with fund-level subscription facilities are already reporting performance with the impact of such facilities, we do not anticipate that this requirement will entail substantial additional burdens for most advisers.[369]

Some commenters suggested exempting advisers from the requirement to present unlevered returns to the extent they used subscription facilities on a short term basis to efficiently manage capital, rather than to increase returns.[370] Of these, some stated that this exemption would be for advisers using facilities solely or primarily to streamline capital calls and not to enhance performance.[371] Some commenters suggested that a "short-term" subscription facility is generally one for which the facility is repaid within 120 days using committed capital that is drawn down through a capital call.[372] While we acknowledge that some short-term subscription facilities may be less likely to cause the issues we discuss below, providing such an exemption could lead to certain undesirable outcomes. For instance, a fund may only repay each use of a subscription facility within 120 days for the first two years of the fund's life but then start leaving such subscription facility unpaid for longer spans of time for the remaining eight years of its life. If we were to provide such an exemption, such a fund would not be required to show unlevered performance measures for the first two years but then would be required to do so in the third year. However, in year three and after, investors would only have past levered performance measures and may find it difficult to assess the newly received unlevered

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369 *See infra* section VI.D.2.

370 *See, e.g.*, CFA Comment Letter I; AIC Comment Letter II; ILPA Comment Letter I.

371 *See, e.g.*, AIC Comment Letter II; ILPA Comment Letter I.

372 *See, e.g.*, CFA Comment Letter I; ILPA Comment Letter I.

performance measures. Additionally, it is important that investors understand how costs associated with a subscription facility are affecting performance, and the unlevered performance measures will facilitate this understanding.

As proposed, we are defining "fund-level subscription facilities" as any subscription facilities, subscription line financing, capital call facilities, capital commitment facilities, bridge lines, or other indebtedness incurred by the private fund that is secured by the unfunded capital commitments of the private fund's investors.[373] This definition is designed to capture the various types of subscription facilities prevalent in the market that serve as temporary replacements or substitutes for investor capital.[374] Such facilities enable the fund to use loan proceeds – rather than investor capital – to fund investments initially and pay expenses. This practice permits the fund to delay the calling of capital from investors, which has the potential to increase performance metrics artificially.

Many advisers currently provide performance figures that reflect the impact of fund-level subscription facilities. We believe that these "levered" performance figures, alone, have the potential to mislead investors.[375] For example, an investor could reasonably believe that levered performance results are similar to those that the investor has achieved from its investment in the

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373 Final rule 211(h)(1)-1. The rule defines "unfunded capital commitments" as committed capital that has not yet been contributed to the private fund by investors, and "committed capital" as any commitment pursuant to which a person is obligated to acquire an interest in, or make capital contributions to, the private fund. *See id*.

374 We recognize that a private fund may guarantee portfolio investment indebtedness. In such a situation, if the portfolio investment does not have sufficient cash flow to pay its debt obligations, the fund may be required to cover the shortfall to satisfy its guarantee. Even though investors' unfunded commitments may indirectly support the fund's guarantee, the definition would not cover such fund guarantees. Unlike fund-level subscription facilities, such guarantees generally are not put in place to enable the fund to delay the calling of investor capital.

375 We recognize that fund-level subscription facilities can be an important cash management tool for both advisers and investors. For example, a fund may use a subscription facility to reduce the overall number of capital calls and to enhance its ability to execute deals quickly and efficiently.